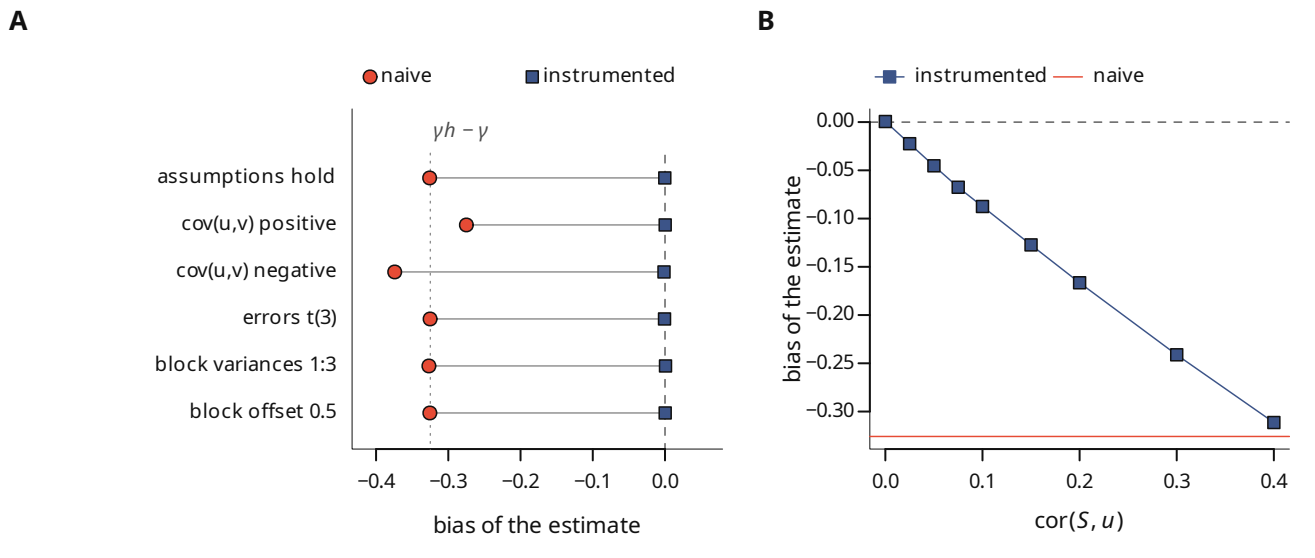
A
naive
instrumented
γh − γ
assumptions hold
cov(u,v) positive
cov(u,v) negative
errors t(3)
block variances 1:3
block offset 0.5
−0.4
−0.3
−0.2
−0.1
0.0
bias of the estimate
B
instrumented
naive
0.00
−0.05
−0.10
−0.15
−0.20
−0.25
−0.30
bias of the estimate
0.0
0.1
0.2
0.3
0.4
cor(S, u)